

Ethical climate and job satisfaction among organizational buyers: an empirical study

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Abstract

Purpose – The purpose of this study is to examine the relationship between ethical climate and facets of job satisfaction among organizational buyers.

Design/methodology/approach – This research is an empirical study. Data are collected from the industrial buyers using online panel. The INDSALES scale, the scale developed to measure job satisfaction of boundary spanners, was used to measure the job satisfaction. Partial least squares, a components-based structural equation modeling approach, was employed to conduct data analysis.

Findings – The key finding was that buyer's organizational policy mediates the relationship between buyers' perception of ethical climate and buyers' satisfaction with pay and promotion as well as satisfaction with coworkers and supervisors. The findings also show that work satisfaction can be achieved at different levels based on particular components associated to the work environment.

Practical implications – The role of ethical climate in this study offers insights into managers who constantly observe lower levels of job satisfaction among their buying team. Given that companies specify rules and regulations as a way to standardize employee behaviors and prevent unethical practices, managers must ensure that such codes specifically address issue pertaining to compensation, supervision and promotion.

Originality/value – Most of the previous studies in the business-to-business boundary spanning literature address ethical climate primarily from the salesperson's perspective. Ethical issues relating to organizational buyers in business-to-business setting has largely gone underexplored. This research is one of the few studies that focus on industrial buyers and ethical issues.

Keywords Ethical climate, Job satisfaction, Business-to-business marketing, INDSALES, Organizational buying

Paper type Research paper

Introduction

In an increasingly relational industrial marketplace, organizational buyers have assumed more boundary spanning responsibilities that compel them to interact and perform varying requests from people within and outside their organizations (Goolsby, 1992; Jackson *et al.*, 1995). As a result, they are regularly confronted with conflicting expectations and ethical dilemmas for which they maybe unprepared to handle (Michaels and Dixon, 1994; Saini, 2010). The imminent stress that follows from such conflicting expectations tends to favor ethical conflicts, particularly in environments where managers provide little ethical direction. Such ethical dilemmas are heightened in organizations that fail

to explicitly provide written ethical guidelines to direct employee behaviors, thus prompting ethical shortcomings (Gonzalez-Padron *et al.*, 2008; Goolsby, 1992; Michaels and Dixon, 1994; Saini, 2010).

The consequences of such ethical shortcomings are detrimental to the boundary spanner's productivity and damaging to their organization's reputation (Carter, 2000; Smith, 2012). In contrast, the impact of a well-fueled ethical environment can enhance an employee's job satisfaction levels (Deshpande, 1996; Jaramillo *et al.*, 2006; Tsai and Huang, 2008; Wang and Hsieh, 2012). While job satisfaction remains a topic of interest to practitioners and academics, most of the studies within the business-to-business (hereafter b-t-b) boundary spanning literature address its relationship with ethical climate primarily from the *salesperson's perspective* (Jaramillo *et al.*, 2006; Mulki *et al.*, 2006, 2008, 2009; Pettijohn *et al.*, 2008; Schwepker, 1999; Schwepker and Ingram, 1996; Schwepker *et al.*, 1997), overlooking the

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standpoint of organizational buyers. Thus, revealing a gap within the current boundary spanner literature.

Second, researchers have found that ethical climate influences job satisfaction (Jaramillo *et al.*, 2006; Mulki *et al.*, 2006; Pettijohn *et al.*, 2008; Schwepker, 2001). However, these studies display a common limitation. These studies have treated job satisfaction as a global or single-item measure. The use of a global job satisfaction measure is limiting for several reasons. First, it under-identifies the roles of those whose jobs span boundaries because it prevents them from accurately evaluating their degree of satisfaction with differential aspects (e.g. incentives) and objects (e.g. people) in the work environment (Churchill *et al.*, 1974). For example, an individual may be highly satisfied with company policies, but less satisfied with pay. Hence, a global measure of satisfaction makes it difficult for managers to observe these differences. In addition, a global job satisfaction measure obscures the heterogeneity of each satisfaction facet as a distinct, independent construct with unique properties that are discriminate from one another (Churchill *et al.*, 1974). The lack of job satisfaction research at various facet levels reveals that the means through which ethics lead to satisfaction has not been fully examined within the b-t-b boundary spanner context, and deserves further investigation, thus, revealing a second gap.

Third, an emerging stream of research builds on the multifaceted job satisfaction literature by examining how the facets are sequenced. Specifically, Friend *et al.* (2013) propose that the facets of job satisfaction are sequenced starting with satisfaction with policy and ending with satisfaction with work. Although the model provides a strong support within a sales context, questions remain about the validity of this model outside of the salesperson context. Thus, another gap emerges pertaining to the validity of the sequenced facets of job satisfaction.

For this reason, examining these relationships using a multifaceted job satisfaction scale will echo the need for ethics research to capture not only the direct link between ethical climate and overall job satisfaction but also the intervening process used in achieving multiple satisfactions targeted toward various workplace objects and aspects. Therefore, building on the ethics dialogue to date, the purpose of this study is to investigate the interrelationships between the job satisfaction facets and ethical climate within an organizational buying context.

Theoretical background

Cognitive dissonance theory

Cognitive dissonance theory (Festinger, 1957) provides the theoretical framework to explain the relationship between ethical climate and job satisfaction. The cognitive dissonance theory argues that individuals who perceive inconsistent cognitions with their belief systems will experience a heightened state of psychological uneasiness (Festinger, 1957). An organization's ethical climate can act as the basis for dissonance with their belief systems. Ethical climate is defined as "the stable, psychologically meaningful perceptions members of organizations hold concerning ethical procedures and policies existing in their organizations and organizational subunits" (Winbush *et al.*, 1997, p. 1705). An

organization's ethical climate dictates for its employees what are acceptable and unacceptable behaviors. It shows employees ways to tackle ethical dilemmas that arise as a result of one's job responsibilities, including how to deal with day-to-day interactions with people both inside and outside the company's perimeters (Mayer *et al.*, 2009). The lack of a clear ethical environment can lead to dissonance among employees.

When individuals feel dissonance in organizational settings, people immediately experience a negative attitude shift that lowers job satisfaction and increases tension among colleagues (Viswesvaran and Deshpande, 1996; Viswesvaran *et al.*, 1998). Once satisfaction is reduced as a consequence of dissonance, individuals grow increasingly motivated to lessen the presence of dissonance by doing one of the following three things:

- 1 modifying their initial conflicting cognition;
- 2 preventing a future reoccurrence of the same action; or
- 3 introducing additional cognitions that help to minimize differences in thought processes (Festinger, 1957).

Understanding facets of job satisfaction

Job satisfaction is the positive and favorable judgments or evaluations a person makes about *aspects of his/her job and working environment* (Churchill *et al.*, 1974; Weiss, 2002). Churchill *et al.* (1974), along with other scholars (Smith *et al.*, 1969; Weiss *et al.*, 1967), have noted that a boundary spanner's job satisfaction level must take into account various aspects and objects of one's job including: company policy and support, promotion and advancement, pay, coworkers, supervision, customers and the overall work itself. As a result, the INDSALES scale was created as a deviation from past summated or single-item measures of global job satisfaction that did not capture the depth and multidimensionality of the satisfaction construct (Churchill *et al.*, 1974). The INDSALES scale was the first of its kind to measure the satisfaction levels of employees in boundary spanning roles (industrial salespeople). This was a departure from previous measures of job satisfaction like the Job Descriptive Index (Smith *et al.*, 1969) and the Minnesota Satisfaction Questionnaire (Weiss *et al.*, 1967) that neglected to evaluate the exclusive characteristics of the boundary spanners (Futrell, 1979).

Considering the multidimensionality of job satisfaction, Nerkar *et al.* (1996) presented a different approach to clustering satisfaction. Using data from 40 different firms, Nerkar and his colleagues disaggregated the job satisfaction construct based on task responsibility toward meeting firm goals, maintaining social interactions and achieving personal rewards. Relying on psychological, sociological and economic theories, they classified job satisfaction and its facets into the following three dimensions:

- 1 instrumental satisfaction;
- 2 social satisfaction; and
- 3 egocentric satisfaction.

Instrumental satisfaction, according to Nerkar *et al.* (1996), reflects the positive reactions that emanate from performing one's work responsibilities in a manner that promotes organizational goals. Instrumental satisfaction likened to Herzberg *et al.*'s (1959) motivator factors depict the progress

an employee makes in accomplishing his/her task, to avoid performance gaps. Because instrumental satisfaction relate to narrowing performance gaps by doing the work itself, the INDSALES facet of work satisfaction is identified as a form of instrumental satisfaction.

Social satisfaction entails the gratifying aspects of one's job that arises from maintaining a working relationship with other members of one's organizational group including superiors, subordinates and coworkers (Nerkar *et al.*, 1996). Based on the definition of social satisfaction, the facets of the INDSALES scale most closely associated with this dimension are satisfaction with coworkers and satisfaction with supervision.

Egocentric satisfaction focuses on maximizing the economic benefits and overall utility an individual receives from his/her job. According to Nerkar *et al.* (1996), rationale people behave in ways that help them increase the benefits they receive on and from their jobs. In an effort to boost their egocentric satisfaction, people will improve their performance level seeing as increasing productivity should increase the personal rewards they receive on and from their job. Because egocentric satisfaction highlights incentives and rewards that result from a person's level of productivity, the INDSALES facets of pay and promotion are identified as types of egocentric satisfaction.

A fourth dimension of satisfaction grounded in Herzberg *et al.*'s (1959) two-factor theory of motivation is introduced in this study. This dimension is identified as governance satisfaction. Governance satisfaction assesses how work-based conditions derived from the internal environment such as principles, policies and procedures prompt attitudinal and behavioral outputs. According to Herzberg *et al.*'s (1959) two-factor theory of motivation, the presence of hygiene variables such as company policies and working conditions help to prevent dissatisfaction. As company policies stipulate the standards of organizational behaviors (e.g. ethical conducts), as well as provide the operational guidelines for firms to meet required expectations set forth by customers,

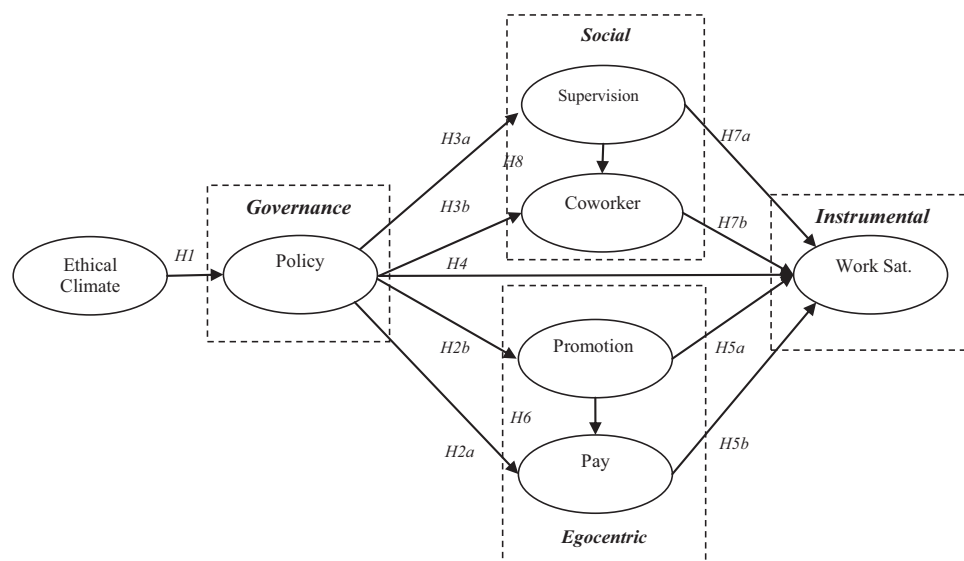
societies and governmental institutions, satisfaction with policy and support is posited in this study as the driving force for all other job satisfaction facets. Accordingly, satisfaction with policy and support is classified as a key element of governance satisfaction.

This paper adopts and validates the accuracy of categorizing the INDSALES facets into Nerkar *et al.*'s (1996) satisfaction dimensions within an organizational buying context. Specifically, this study models six facets of the INDSALES instrument into four satisfaction dimensions (instrumental, social, egocentric and governance). The seventh facet, satisfaction with customers, is excluded from this study because customer interactions do not fit into the role responsibilities of organizational buyers. The model, as depicted in Figure 1, proposes that buyers who perceive a positive ethical organizational climate will hold favorable impressions of the firm's policies. This subsequently leads to additional satisfaction with supervision, coworkers, promotion, pay and the overall work itself.

Effect of ethical climate on governance satisfaction

Existing literature from the b-t-b area have examined and found that job satisfaction analyzed as a global measure is triggered by an employee's perception of his/her organization's ethical climate (Jaramillo *et al.*, 2006; Schwepker, 2001). Although early research efforts suggest that ethical climate affects job satisfaction, only a few studies to date have examined job satisfaction from the facets level (Deshpande, 1996; Koh and Boo, 2001; Tsai and Huang, 2008; Viswesvaran and Deshpande, 1996; Viswesvaran *et al.*, 1998). One of such studies (Deshpande, 1996) was conducted within the context of a large non-profit charitable organization using a national sample of 252 middle-level managers. Another study was conducted in a hospital setting in Taiwan with a sample of 450 nurses (Tsai and Huang, 2008). Results from both studies found that employees working in a professional environment characterized by care and concern for others experienced a greater level of overall satisfaction with their job.

Figure 1 Research model and hypotheses



Surprisingly, neither of these two studies evaluated the impact of ethical climate on policy and support satisfaction. Moreover, neither study assessed policy and support satisfaction as a facet of job satisfaction.

The Deshpande (1996) study dealt with pay, promotion, coworker, supervisor and work satisfaction, whereas Tsai and Huang (2008) examined similar facets. Evidence from the Tsai and Huang (2008) study, nonetheless, illustrated that in organizations where rules and policies applied to all personnel, the potential for employees to experience multiple cognitions contrary to the company's ethical standards were less. Accordingly, when ethical policies and rules help individuals minimize cognitive dissonance, an individual's satisfaction with his/her supervisors, coworkers, pay and overall work tends to increase. Given that the relationship between ethical climate and facets of job satisfaction has primarily been examined in non-profit settings, and no study to date has examined ethical climate in relation to satisfaction with policy and support from an organizational buyer's perspective, the following is offered as an exploratory hypothesis:

- H1. Positive perceptions of ethical climate will lead to increases in the buyer's level of satisfaction with policy and support.

Effect of governance satisfaction on egocentric satisfaction facets

Although research on egocentric satisfaction is somewhat widespread (De Souza, 2002; Judge *et al.*, 2010), we are aware of only one study (Friend *et al.*, 2013) that has empirically examined the impact of governance satisfaction on facets of egocentric satisfaction in a b-t-b context. Using a sample of salespeople working in b-t-b industries, Friend *et al.* (2013) proposed that higher satisfaction with policy and support would lead to higher levels of satisfaction with pay and promotion. They found that a salesperson's level of satisfaction with company policy and support significantly influenced the salesperson's degree of satisfaction with pay and promotion. Their findings demonstrate that organizational policies that spell out the company's pay structure and processes for promotion are considered to be transparent. Such transparent environments give all employees an equal opportunity to understand the firm's policies concerning its reward systems. Accordingly, the following hypotheses are offered:

- H2a. Buyer's satisfaction with policy and support will have a positive effect on buyer's satisfaction with pay.
- H2b. Buyer's satisfaction with policy and support will have a positive effect on buyer's satisfaction with promotion and advancement.

Effect of governance satisfaction on social satisfaction facets

Previous research suggests that ethical policies significantly influence an employee's level of satisfaction with his/her supervisors and coworkers (Tsai and Huang, 2008; Viswesvaran and Deshpande, 1996). Evidence from the Tsai and Huang (2008) study illustrated that in hospitals with clear, established and documentable standards such as an

employee code of conduct, nurses were more satisfied with their supervisors and coworkers. According to their findings, the presence of ethical rules ensured that all nurses strictly followed hospital policies regardless of rank or status. Policies accessible and applicable to all employees also helped administrators minimize cognitive dissonance. For example, if an employee perceives a supervisor's behavior to be contrary to the company's ethical stipulation, internal moral contentions will follow because the employee may become uncertain of whether to follow the supervisor's contrary behavior or the company's rules (Viswesvaran and Deshpande, 1996). In contrast, if all employees (supervisors and subordinates) are aware of the company policies and follow the established ethical rules, workers are less likely to experience internal conflicts, thus experiencing higher social satisfaction. Thus, the following hypotheses are offered:

- H3a. Buyer's satisfaction with policy and support will have a positive effect on buyer's satisfaction with supervision.
- H3b. Buyer's satisfaction with policy and support will have a positive effect on buyer's satisfaction with coworkers.

Effects of governance satisfaction on instrumental satisfaction

Using support from Deshpande's (1996) and Friend *et al.*'s (2013) studies, we argue that satisfaction with company policy and support will positively influence satisfaction with work. Deshpande (1996), for instance, found that a professional climate influenced work satisfaction. Deshpande described a professional climate as a working environment with policies put in place to ensure that people complied with the legal and professional standards put in place by professional organizations. The work of Friend *et al.* (2013), which directly tests the effect of policy and support satisfaction on work satisfaction, supports Deshpande's (1996) findings. Friend and his co-authors similarly reported that higher salesperson satisfaction with policy and support led to higher levels of work satisfaction in a sales context. Given the establishment of this relationship in a b-t-b context, the following hypothesis is offered:

- H4. Buyer's satisfaction with policy and support will have a positive effect on buyer's satisfaction with work.

Effects of egocentric satisfaction facets on instrumental satisfaction

Other potential antecedents of work satisfaction should include promotion and pay satisfaction. In the sales literature, for example, researchers have argued, but failed to find a significant relationship between egocentric satisfaction facets (i.e. pay and promotion) and work satisfaction (Friend *et al.*, 2013). The lack of support is surprising, particularly given that extant research suggest that pay raises and available advancement opportunities should result in increased work satisfaction (Judge *et al.*, 2010). Moreover, past research (Rutherford *et al.*, 2009) has reported a small but positive, significant correlation between pay and work satisfaction ($r = 0.21$, $p < 0.05$), as well as a larger correlation between promotion and work satisfaction ($r = 0.37$, $p < 0.01$). As a result, the following hypotheses are offered:

- H5a. Buyer's satisfaction with promotion and advancement will have a positive effect on buyer's satisfaction with work.
- H5b. Buyer's satisfaction with pay will have a positive effect on buyer's satisfaction with work.

Interrelationship between egocentric satisfaction facets

This study argues that a buyer's satisfaction with promotion and advancement in his/her buying firm will have a positive effect on the buyer's satisfaction with the company's pay. Promotions are often followed by increases in job amenities and rewards such as bigger office space, authority and income (Kosteas, 2011). Companies use promotions to incentivize productive employees, thus giving them an opportunity to earn a pay raise. Labor economists assert that mobility up the professional ladder is often accompanied by increases in pay (Booth *et al.*, 2003). Booth *et al.* (2003) maintains that the incremental change in an individual's wage reflects the increase in a person's responsibility and position. Considering that job promotions explain pay increases, this study posits that a buyer's satisfaction with promotion and advancement will positively influence the buyer's level of satisfaction with the company's pay. Based on this, the following hypothesis is offered:

- H6. Buyer's satisfaction with promotion and advancement will have a positive effect on buyer's satisfaction with pay.

Effects of social satisfaction facets on instrumental satisfaction

Satisfaction with workplace relationships with supervisors and coworkers should also affect the buyer's overall satisfaction with his/her work. In the management literature, the notion of liking has been significantly linked to job satisfaction. Liking, according to Law and Wong (1999), assesses the degree to which a subordinate displays favorable dispositions toward his/her supervisor. In theory, liking is a good way to determine the amount of social interaction that takes place at work, but in practice, liking is a good way to evaluate how much a new employee is pleased with his/her supervisor. For most new employees, the more pleased they are with their superiors, the more satisfied they are with their work. Law and Wong (1999) also employs the leadership making model to illustrate that subordinates who participate in constructive interactions with their supervisors (i.e. higher leader-member exchange) will experience positive individual-level outcomes such as higher job satisfaction levels. For example, recent research has found that salesperson satisfaction with fellow workers led to higher levels of satisfaction with the salesperson's work (Friend *et al.*, 2013). Thus, the following hypotheses are offered:

- H7a. Buyer's satisfaction with supervision will have a positive effect on buyer's satisfaction with work.
- H7b. Buyer's satisfaction with coworkers will have a positive effect on buyer's satisfaction with work.

Interrelationship among social satisfaction facets

Researchers contend that employees are more likely to form close relationships with other employees and their firms when they perceive that their supervisors value their contributions (Eisenberger *et al.*, 2001; Wayne *et al.*, 1997). According to the organizational support theory, employees generally feel an obligation to help their coworkers when they believe they have been treated equitably and appropriately by their supervisors and the organization as a whole (Eisenberger *et al.*, 2001). As a result, they become more likely to reciprocate this behavior by engaging in extra-role activities, such as helping a new hire get familiar with his/her job, assisting other employees when their workload increases and socializing with colleagues outside the office (Wayne *et al.*, 1997). As such, when supervisor support increases, employees' satisfaction with their supervisors also increases. This serves as a strong indication that employees are pleased with the people around them, including their coworkers. Based on this, the following hypothesis is offered:

- H8. Buyer's satisfaction with supervision will have a positive effect on buyer's satisfaction with coworkers.

Methodology

Data collection

This study recruited purchasing agents using online panel data. For respondents to take part in the survey, they had to meet the following three criteria:

- 1 their firm had to procure products or services from selling firms;
- 2 at least 10 per cent of their job required purchasing; and
- 3 they had to have face-to-face contact with salespeople.

In total, 127 surveys were obtained and used to test the proposed relationships.

Respondent profile

The respondent's average age was 49 years. Men accounted for 46 per cent of the respondents. Approximately 61 per cent of the respondents had a college education and had a median income of \$6,161 per month. Respondents on average had 14 years of experience in procurement and 10 years of experience at their current company. On average, the respondents reported \$1.4 million in purchasing per month. The median respondent reported spending about 56 per cent of their time in purchasing with a range between 10 and 100 per cent. On average, respondent reported receiving about 3.35 hours of ethics training. Table I provides the respondent profile.

Measurement

Ethical climate was measured using the seven-item scale proposed by Weeks *et al.* (2004). To measure the job satisfaction facets, the reduced version of the INDSALES scale (Churchill *et al.*, 1974; Comer *et al.*, 1989; Lagace *et al.*, 1993) was adapted for use within a procurement context. Of the seven facets, six were relevant within this study[1]. All items used in this study were measured using seven-point Likert-type scales ranging from 1 (strongly disagree) to 7 (strongly agree).

Table I Organizational buyer profile

Average age	49 years
Average monthly income	\$6,161
Gender distribution	46% M; 54% F
Average annual hours of ethics training received	3.35 hours
Average monthly purchase volume	\$1.4 million
Average years of experience in purchasing	14 years
Average years of experience with current firm	10 years
Average years of experience in buying position for current firm	7 years
Average number of employees in purchasing department	9 employees

Results and findings

Results of the data analysis

We employed partial least squares (PLS), a components-based structural equation modeling (SEM) approach, to conduct data analysis. PLS is a predictive technique that can handle many independent variables and does not require a sample size as large as covariance-based SEM (Hair *et al.*, 2013). We used SmartPLS software to conduct the analysis (Ringle *et al.*, 2005; SmartPLS 2.0 β , www.smartpls.de). The PLS data analysis involves the following two stages:

- 1 assessing measurement models; and
- 2 analyzing the structural model (Chin, 1998; Hair *et al.*, 2011).

Assessing measurement models

We first assess measurement models for all constructs in our model. Our measures display good internal consistency in terms of item loadings, Cronbach's alpha, composite reliability and average variance extracted (AVE). We assess individual item reliability by examining the loading of the items on their corresponding construct (Chin *et al.*, 2003; Hair *et al.*, 2011). Loadings greater than 0.70 are accepted. All but one item had item loadings greater than 0.70, and we kept all items. Second, we examine the values for Cronbach's alpha (Nunnally, 1978) and composite reliability. All the values exceed the suggested 0.70 thresholds. Third, to assess discriminant validity, we examine the AVE for each construct. Desired values are above 0.50, and our measures fulfill this criterion. Table II reports the measurement properties and correlations between paired constructs.

Analyzing structural model

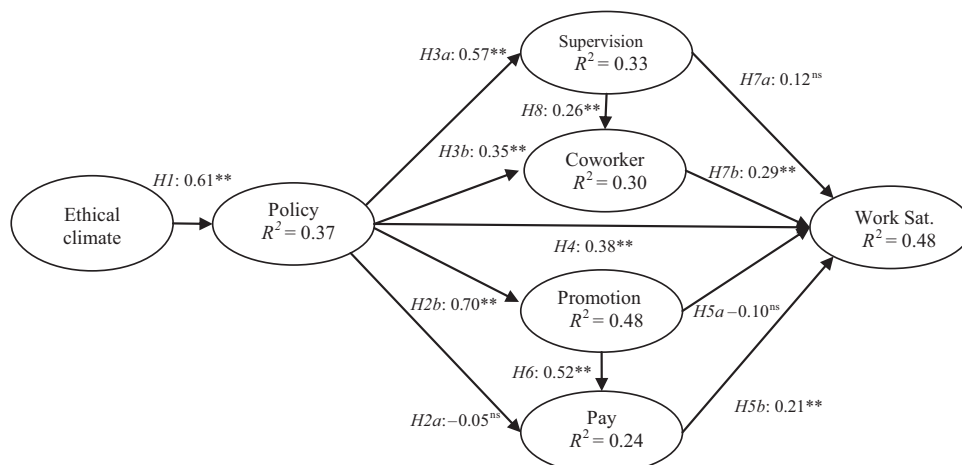
Next, we analyze the structural model calculating direct effects, cross-validated redundancy measure Q^2 , examining individual paths, and their significance. Figure 2 shows the PLS results for direct effects and R^2 values. First, we examine the AVE for the constructs. Ethical climate accounts for 37 per cent of the variance in buyer's satisfaction on policy. Satisfaction with policy accounts for 48 per cent of the variance in satisfaction with promotion and 24 per cent in satisfaction pay. Buyer's satisfaction with policy and supervision accounts for 30 per cent of variance in coworker satisfaction. Finally, satisfaction with policy, pay, promotion,

Table II Assessment of the measures and construct correlations

Construct	Item loadings	CR/alpha	EC	Pay	Policy	Promotion	Coworker	Super-vision	Work satisfaction
EC	0.85-0.92	0.95/0.95	0.75						
Pay	0.89-0.94	0.88/0.82	0.26**	0.65					
Policy	0.76-0.85	0.96/0.94	0.60**	0.31**	0.85				
Promotion	0.75-0.85	0.88/0.81	0.45**	0.49**	0.69**	0.64			
Coworker	0.60-0.94	0.91/0.86	0.31**	0.32**	0.50**	0.52**	0.72		
Supervision	0.91-0.95	0.96/0.95	0.41**	0.40**	0.57**	0.58**	0.46**	0.86	
Work satisfaction	0.89-0.95	0.96/0.94	0.32**	0.42**	0.59**	0.48**	0.55**	0.49**	0.86

Notes: ** significant at 0.001; ns = not significant; CR = composite reliability; diagonal values are AVE; EC = ethical climate; Sat = satisfaction

Figure 2 The results of the structural model



coworkers and supervisor accounts for 48 per cent of the variance in buyer's overall work satisfaction.

Second, we assess the predictive validity of exogenous latent variables employing the cross-validated redundancy measure Q^2 , Stone–Geisser test (Tenenhaus *et al.*, 2005; Hair *et al.*, 2011). The values greater than zero refer to situation where exogenous constructs have predictive relevance for the endogenous construct in the model (Chin, 1998; Hair *et al.*, 2011). In our research model, all the values for cross-validated redundancy are greater than zero, ranging from 0.14 to 0.65. Therefore, we can conclude that our model has predictive relevance.

Third, we examine the individual path coefficients and their significance. Table III provides the results of path analyses. Our results showed that the buyer's perception of ethical climate had a strong positive effect on buyer satisfaction with company policy and support ($\beta = 0.61$, $p < 0.01$), thus supporting *H1*. *H2a* predicted that a buyer's satisfaction with organizational policy and support would have a positive effect on buyer's satisfaction with pay. *H2a* was not supported ($\beta = -0.05$, ns), suggesting that satisfaction with policy and support does not directly lead to buy satisfaction with pay. Next, we proposed that a buyer's satisfaction with policy and support would have a positive effect on buyer satisfaction with promotion and advancement (*H2b*), supervision (*H3a*), coworkers (*H3b*) and work (*H4*). All four hypotheses were supported (*H2b*: $\beta = 0.07$; *H3a*: $\beta = 0.57$, $p < 0.01$; *H3b*: $\beta = 0.35$, $p < 0.01$; *H4*: $\beta = 0.38$, $p < 0.01$).

H5a and *H5b* proposed that satisfaction facets that tackle economic rewards would have positive effects on the buyer's work satisfaction. We found no support for *H5a* ($\beta = -0.10$, ns), thus suggesting that buyer satisfaction with promotion does not directly lead to buyer satisfaction with work. The results, however, demonstrated that buyer satisfaction with pay had a positive effect on buyer satisfaction with the work itself, supporting *H5b* ($\beta = 0.21$, $p < 0.01$). In *H6*, we proposed that the buyer's satisfaction with promotion would have a positive effect on pay. The results provide support for *H6* ($\beta = 0.52$, $p < 0.01$).

H7a and *H7b* tackled the relationship between social satisfaction and instrumental satisfaction facets. In *H7a*, we proposed that buyer satisfaction with supervision would have

a positive effect on work satisfaction. *H7a* was not supported ($\beta = 0.12$, ns), indicating that satisfaction with supervision does not have a direct effect on work satisfaction. In *H7b*, the study hypothesized that the buyer satisfaction with coworkers would have a positive effect on work satisfaction. We found support for this hypothesis ($\beta = 0.29$, $p < 0.01$). Thus, *H7b* is supported. *H8* proposed that buyer satisfaction with supervision would have a positive impact on satisfaction with coworkers. The results provide support for *H8* ($\beta = 0.26$, $p < 0.01$). Overall, 12 hypotheses were proposed and 9 were supported. To confirm the mediating effect of organizational policy in our model, the direct effects between a buyer's perception of ethical climate and satisfaction with supervisor, coworkers, pay, promotion and the work satisfaction were tested. No significant relationships were found.

Discussion

Ethic research in general has been extensive, but nowhere has this dialogue been more evident than in the b-t-b literature. Unfortunately, b-t-b scholars have devoted most of their research attention exploring the relationship between ethical climate and job satisfaction from a salesperson's perspective. In this study, we succeed in advancing the ethics research by focusing our discussion strictly from the organizational buyer's perspective.

Results from this study achieve five fundamental goals. First, findings from the structured framework illustrates that perceptions of company ethical climate do indeed affect satisfaction with the firm's policy and support, and the relationship between both constructs act as the catalyst for additional satisfaction among organizational buyers. Second, results from this study reveal interesting evidence to support recent research claims (Boles *et al.*, 2007; Friend *et al.*, 2013; Rutherford *et al.*, 2009) concerning the interdependencies within the job satisfaction facets using the INDSALES scale. The results demonstrate that positive evaluations of certain elements of an individual's job impact other facets of job satisfaction among organizational buyers.

Third, the findings show that work satisfaction can be achieved at different levels based on particular components associated to the work environment. For instance, the results show that of all the INDSALES measures, buyer satisfaction with policy and

Table III Hypotheses and results

Hypothesis	Hypothesis pathways	Path (Significance)	Results
<i>H1</i>	Ethical Climate → Satisfaction with policy	0.61**	Supported
<i>H2a</i>	Satisfaction with policy → Satisfaction with pay	-0.05 ^{ns}	Not supported
<i>H2b</i>	Satisfaction with policy → Satisfaction with promotion	0.70**	Supported
<i>H3a</i>	Satisfaction with policy → Satisfaction with supervision	0.57**	Supported
<i>H3b</i>	Satisfaction with policy → Satisfaction with coworker	0.35**	Supported
<i>H4</i>	Satisfaction with policy → Satisfaction with work	0.38**	Supported
<i>H5a</i>	Satisfaction with promotion → Satisfaction with work	-0.10 ^{ns}	Not supported
<i>H5b</i>	Satisfaction with pay → Satisfaction with work	0.21**	Supported
<i>H6</i>	Satisfaction with promotion → Satisfaction with pay	0.52**	Supported
<i>H7a</i>	Satisfaction with supervision → Satisfaction with work	0.12 ^{ns}	Not supported
<i>H7b</i>	Satisfaction with coworker → Satisfaction with work	0.29**	Supported
<i>H8</i>	Satisfaction with supervision → Satisfaction with coworker	0.26**	Supported

Notes: ** significant at 0.001; ns = not significant

support has the strongest effect on work satisfaction. The findings also demonstrate that buyer's work satisfaction is directly influenced by workplace interactions with coworkers, as well as incentive properties associated with financial rewards.

Fourth, the results reveal that motivations for organizational buyers work satisfaction in b-t-b firms differ from other industries, particularly sales and non-profit firms. For example, satisfaction with pay is a critical instigator for buyers work satisfaction. However, pay satisfaction does not predict work satisfaction in salespeople (Friend *et al.*, 2013). Fifth, we successfully find support to cluster the INDSALES facets of satisfaction into Nerkar *et al.*'s (1996) satisfaction subconstructs. Furthermore, this study extends Nerkar *et al.*'s (1996) satisfaction classification by successfully introducing and validating a fourth distinct satisfaction dimension – governance satisfaction.

Research implications

This study provides several research contributions to advance the organizational buying literature. First, the results show that the multifaceted structure of job satisfaction is a reliable metric for evaluating the effectiveness of ethical policies in industrial markets when assessing organizational buyers. The findings suggest that the extent to which a buying firm's ethical climate affects facets of job satisfaction varies significantly and will likely depend on intervening work environment constructs. For example, the results demonstrate that the relationship between ethical climate and egocentric satisfaction facets, as well as the relationship between ethical climate and social satisfaction facets are predicated on the buyer's positive evaluation of the company's policies.

Second, the present study extends the application of the INDSALES scale from industrial salespeople to organizational buyers, thus validating the usefulness of a multifaceted instrument. The six satisfaction constructs examined in the INDSALES scale revealed strong internal reliability, discriminant and convergent validity for each construct within the context of buying firms. The psychometric properties of the individual constructs parallel previous descriptors in the sales literature (Boles *et al.*, 2007; Rutherford *et al.*, 2009). Furthermore, the application of the INDSALES scale to organizational buyers confirms the appropriateness of using this instrument to measure other employees in boundary spanning positions (Futrell, 1979).

Third, the positive association between facets of social and egocentric satisfaction highlights the need for researchers to grow accustomed to seeing these facets as both independent and outcome variables. Evaluating job satisfaction facets as both predictor and dependent variables will help researchers better explain unexpected employee behaviors (Boles *et al.*, 2007). For instance, this study finds that greater supervisor satisfaction leads to increased coworker satisfaction. The relationship between these two facets may provide explanations for the presence of organizational citizenship behaviors, in which case fellow employees help their coworkers (Organ *et al.*, 2006). These results should naturally spark interest as to whether the linkage between social satisfaction facets directly influence work satisfaction to the point of indirectly predicting additional relevant behavioral outcomes such as organizational commitment.

Managerial implications for purchasing managers and organizational buyers

Drawing on the cognitive dissonance theory, this study's findings support previous arguments made in non-b-t-b settings regarding the influence of ethical climate on job satisfaction facets (Viswesvaran and Deshpande, 1996; Viswesvaran *et al.*, 1998). The role of ethical climate in this study offers insights into managers who constantly observe lower levels of job satisfaction among their buying team. Given that companies specify rules and regulations as a way to standardize employee behaviors and prevent unethical practices, managers must ensure that such codes specifically address issue pertaining to compensation, supervision and promotion. For example, when it comes to compensation, ethical policies must clearly spell out for purchasers the company's rules regarding gift giving, illegal payments, commissions, contest fees and benefits (Saini, 2010).

This study's application of the INDSALES scale further shows managers the need to understand the complexity of the job satisfaction construct, especially during annual report assessments. In addition, managers who place strong emphasis on global job satisfaction should consider implementing unanimity in the purchasing process using training programs to minimize the likelihood of cognitive dissonance among buyers with shorter purchasing experience.

Limitations and future research

Although this study provides an initial look into the relationship between ethical climate and facets of job satisfaction using a sample of organizational buyers in industrial markets, our results present several avenues for future research. We believe that the organizational buying literature will benefit from replicating the current study's theoretical framework into different industries, such as financial and retail services, to determine whether the results remain identical to our current findings or vary to a large extent based on industry type. Given that facets of job satisfaction operate differently, the findings provide a roadmap for future research to explore mediation analysis looking at how the linkages between social satisfaction facets influence overall job satisfaction and relevant behavioral outcomes, not tested in the current study. In conclusion, this study confirms the relationship between ethical climate and facets of job satisfaction among organizational buyers, but researchers are called to advance our findings by validating whether the influences of ethical climate on facets of job satisfaction can help b-t-b firms manage organizational buyers' affective commitment. Moreover, this study deconstructs the true nature of the relationship between ethical climate and facets of job satisfaction among organizational boundary spanners by offering buying firms a strategic approach geared toward restoring overall workplace satisfaction.

Note

- 1 The satisfaction with customer's facet is salesperson-focused and does not fit within a procurement context and was not used.

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